

FINCOIN ECOSYSTEM

Business Model & Revenue Distribution Proposal

A unified marketplace, on-demand services, mobility and referral-reward
ecosystem

Prepared for Higher Management / Business Authority

Confidential – Concept Proposal

1. Executive Summary

The proposed platform is designed as a multi-service digital ecosystem where a single user can act as a customer, seller, service provider, driver/partner and referrer. Users can list products or services, accept bookings or orders, complete transactions and earn. Customers pay the applicable product/service amount plus platform and other clearly disclosed charges.

The company earns primarily through platform fees, provider/service commissions, transaction-related charges, memberships, promoted listings and other legitimate marketplace revenues. A controlled portion of eligible company commission can be allocated as Fincoin rewards to users who generate genuine business through referrals.

Core principle: rewards should be generated by genuine completed economic activity, not merely by recruiting users.

2. Platform Vision

The platform aims to become a single app where people can buy, sell, work, book and earn. It can support categories such as products, plumbing, electrical work, cleaning, beauty, repair, professional services, rentals, delivery, ride booking and future categories.

Universal Account Model

One account can have multiple capabilities. For example, the same person may purchase a product, sell furniture, provide plumbing services, drive for the platform and refer another provider.

Role	Possible Activity
Customer	Buy products and book services
Seller	List and sell products
Service Provider	Accept and complete service jobs
Mobility Partner	Accept eligible rides/deliveries
Referrer	Introduce new customers/providers

3. Fincoin - Reward Unit

Fincoin is proposed as the platform's internal reward and redemption unit. Instead of paying referral rewards directly in cash/INR, eligible rewards are credited as Fincoins. The company can define redemption rules, eligible uses, caps and promotional values through published terms.

Important: the platform should not market Fincoin as a guaranteed investment, deposit, security or guaranteed future currency value. Any future INR-linked redemption or conversion mechanism should be established only after appropriate legal, tax and regulatory review.

Potential Fincoin Sources

- Eligible referral rewards
- Customer loyalty/reward campaigns
- Provider performance incentives

- Promotional campaigns and bonuses
- Membership-related rewards
- Other approved platform activities

4. Core Revenue Model

The company should maintain multiple revenue streams so that referral rewards remain funded from actual platform economics rather than from uncontrolled cash outflow.

Revenue Stream	Description
Platform Fee	A clearly disclosed fee charged to customers for eligible transactions.
Provider Commission	Percentage retained from the provider/service transaction value.
Delivery / Booking Charges	Applicable category-specific operational charges.
Membership	Recurring subscription providing additional benefits and reward privileges.
Promoted Listings	Providers/sellers may pay for enhanced visibility.
Advertising / Offers	Sponsored placements and commercial campaigns, where appropriate.
Other Services	Future legitimate services and business partnerships.

5. Recommended Transaction Distribution

Illustrative example only. Final percentages should be set by category after calculating payment costs, refunds, taxes, customer acquisition cost, support, operations and target margin.

Example: Service Value	₹2,000
Customer Platform Fee	₹50
Customer Total Paid	₹2,050
Provider Commission (illustrative 10%)	₹200
Provider Net Before Other Applicable Charges	₹1,800
Company Gross Revenue	₹250

6. Referral Reward Pool

A controlled portion of the company's eligible commission can be placed into a referral reward pool. This prevents the referral program from becoming an unlimited liability.

Illustrative ₹200 Provider Commission	Amount
Company retained commission	₹160
Direct referral reward pool	₹40

Example: if the direct referrer is eligible for 20% of the ₹200 commission, the reward is ₹40 worth of Fincoin under the platform's configured reward policy. The remaining ₹160 remains with the company before other operating costs.

7. Free vs Membership Model

The platform should allow users to participate for free while offering paid memberships with additional economic and service benefits. Membership should provide real value beyond referral earning.

Feature	Free	Membership
Buy / Book	Yes	Yes
Sell / Provide Services	Yes	Yes
Referral Participation	Yes, subject to rules	Enhanced
Reward Percentage	Base rate	Higher configured rate
Monthly Fincoin Cap	Lower	Higher
Recurring Referral Benefit	Limited/defined period	May continue while membership remains active, subject to
Finstore Offers	Standard	Enhanced
Membership Vouchers	Selected campaigns	More offers
Premium Visibility	Limited	Eligible plans

8. Recurring Referral Concept

The proposed distinction is that free users can receive recurring referral rewards only for a defined introductory period, while active members can retain eligibility for longer—potentially for the duration of active membership—provided the reward comes from genuine eligible transactions.

Recommended safeguard: do not make membership a simple payment to unlock recruitment commissions. The membership should include substantial independent benefits such as discounts, marketplace advantages, provider tools, vouchers, support and other services. Final legal structure should be reviewed before launch.

9. Monthly Earning Caps

A monthly cap should be enforced at the account level and, where necessary, separately by reward type. This protects the company from unexpected reward liabilities, fraud and unusually concentrated activity.

Plan	Illustrative Monthly Fincoin Cap
Free	1,000 FC
Basic	5,000 FC
Pro	15,000 FC

Plan	Illustrative Monthly Fincoin Cap
Premium	50,000 FC

All figures above are placeholders for financial modelling and should be replaced by approved company rates.

10. Finstore - Redemption Ecosystem

Finstore is proposed as the primary utility layer for Fincoins. Users can redeem accumulated Fincoins against eligible products, services, discounts, membership benefits and vouchers.

Possible redemption categories:

- Products and accessories
- Platform services
- Service discounts
- Membership plans
- Gift / partner vouchers
- Promotional coupons
- Other company-approved benefits

11. Membership Voucher Strategy

Membership vouchers can be used as a marketing and retention mechanism. Vouchers may be distributed through campaigns, referrals, purchases, provider performance, festivals, partnerships or promotional events.

Example: a ₹999 annual membership could be offered through a limited promotional voucher at a discounted price. The actual price, validity and eligibility should be configurable.

12. Membership Reward Tiers

Plan	Reward Level	Primary Benefits
Free	Base	Core marketplace access; basic rewards; lower cap
Basic	Enhanced	Higher rewards; higher cap; vouchers; discounts
Pro	Higher	Higher rewards; provider tools; visibility benefits
Premium	Maximum eligible	Highest configured rewards; highest cap; priority/premium benefits

13. Recommended Referral Structure

Start with a one-level direct referral structure. If Amit refers Rahul, Amit can earn eligible Fincoins from Rahul's qualifying completed transactions. If Rahul later refers Suresh, Suresh's qualifying activity rewards Rahul—not Amit.

This keeps the model easy to explain, limits liability and avoids a complex multi-level structure. Any expansion to additional levels should only occur after legal, financial and compliance review.

14. End-to-End Money Flow

Customer → Product/Service → Transaction Completed → Payment Collected → Platform Fee & Commission Calculated → Provider Settlement → Eligible Referral Pool Calculated → Fincoin Credited → Fincoin Used in Finstore / Services / Membership.

15. Fincoin Ledger & Controls

Every Fincoin movement should be recorded in a transaction ledger rather than simply changing the displayed wallet balance.

Ledger Type	Example
Referral Reward	+100 FC
Service Reward	+50 FC
Promotional Bonus	+25 FC
Finstore Redemption	-200 FC
Membership Redemption	-100 FC
Expired / Reversed	-50 FC

16. Fraud & Abuse Prevention

The reward engine should include safeguards against self-referrals, duplicate accounts, fake transactions, circular transactions, cancellations followed by rewards, suspicious device/payment patterns and other abuse.

Recommended controls:

- KYC/identity checks where legally and operationally required
- Referral lock after registration
- Reward only after transaction completion and applicable refund/cancellation window
- Monthly and category caps
- Suspicious-activity review
- Reward reversal for fraudulent/refunded transactions
- Immutable transaction and Fincoin ledger
- Admin approval workflows for exceptional rewards

17. Financial Sustainability Rules

The company should set reward rates from contribution margin rather than from gross transaction value. Before approving a category, management should model payment gateway fees, taxes, refunds, customer support, provider incentives, operations, marketing and desired company margin.

A useful internal rule is: Referral rewards must be funded from a defined portion of realized company revenue from eligible completed transactions.

18. Strategic Benefits

- Low-friction customer and provider acquisition through referrals
- Stronger user retention through Fincoin utility
- Membership creates recurring revenue
- Finstore creates a closed-loop reward ecosystem
- Multiple marketplace categories increase user lifetime value
- Provider and customer roles can coexist in one account
- Configurable caps and rates protect unit economics
- Transaction-based rewards align incentives with real business activity

19. Key Risks & Management Considerations

The concept should be launched only after legal, tax, accounting, consumer-protection, payments and regulatory review. In particular, the company should obtain professional advice on membership fees, referral rewards, wallet/Fitcoin treatment, GST/TDS and any applicable financial or direct-selling restrictions.

Marketing language should avoid promising guaranteed investment returns, guaranteed appreciation of Fincoin, unlimited passive income or earnings merely for recruitment.

20. Recommended Launch Approach

Phase 1 - Core Marketplace

Launch products/services, provider onboarding, bookings/orders, payments, platform fees and provider settlements.

Phase 2 - Fincoin

Introduce the Fincoin ledger, reward engine, redemption catalogue and controlled promotional rewards.

Phase 3 - Referral

Launch one-level transaction-based direct referrals with caps and reward eligibility rules.

Phase 4 - Membership

Introduce free and paid plans, higher reward rates, higher caps, vouchers and premium benefits.

Phase 5 - Finstore & Partnerships

Expand redemption products/services, partner vouchers and sponsored offers.

21. Final Proposed Business Principle

Customer pays → Provider earns → Company earns → Eligible portion becomes reward pool → Referrer/member earns Fincins → Fincins are redeemed inside the ecosystem → Users return and generate more transactions.

The objective is to build a sustainable marketplace in which earning is connected to genuine transactions, while Fincoin, membership and referrals increase retention, acquisition and platform activity.

Disclaimer

This document is a business concept and preliminary operating model. Percentages, prices, caps, reward values, membership terms and redemption policies are illustrative and require approval through detailed financial modelling and appropriate professional legal/tax/compliance review before implementation.